Lesson Planning

Complete Lesson Plan Book

Class: I.Com · Class 12

Subject: Accounting

Medium: English

Academic Year 2026-27

DM

This book is prepared as a teaching guide for teachers.

Table of Contents

Unit 1: The Accounting Equation: Assets, Liabilities and Capital

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Unit 1: The Accounting Equation: Assets, Liabilities and Capital

Learning Objectives

• Students will state the accounting equation and explain each of its three parts.
• Students will show that every business transaction keeps the equation balanced.
• Students will solve simple missing-value problems using the equation.

Key Concepts

• The accounting equation is: Assets = Liabilities + Capital.
• Assets are what the business owns, such as cash, stock and equipment.
• Liabilities are what the business owes to others, such as a bank loan or unpaid bills.
• Capital is the owner's investment in the business; profit increases it and drawings decrease it.
• Every transaction changes at least two sides of the equation, so the two sides always stay equal.

Teaching Methodology (Step by Step)

1. Write the equation on the board and explain each term with a small shop example.
2. Record an owner investing Rs. 50,000 cash and show both sides rising equally.
3. Record buying goods on credit and show assets and liabilities rising together.
4. Record paying a bill in cash and show assets falling on one side and liabilities falling on the other.
5. Solve three missing-value problems together, then students solve two alone.

Classroom Activities

• Balance game: groups receive a transaction card and update the equation on mini boards.
• Missing value race: who finds the missing asset, liability or capital value first?
• Real shop list: students list one asset, one liability and one capital item for a real shop.

Assessment Questions

1. Write the accounting equation from memory.
2. If assets are Rs. 120,000 and liabilities are Rs. 45,000, what is the capital?
3. A business buys a machine for cash. Which two parts of the equation change?

Homework

• Solve five accounting-equation problems with a missing value in each.
• Write three transactions of a small shop and show the equation staying balanced after each.

Time Allocation

40 minutes